INNOVATION MANAGEMENT

## Capsule 3

# Innovation, a major economic and strategic issue

A characteristic of innovation to keep in mind: innovation is a major economic and strategic issue.

A few elements support this idea. Theoretical ones first.

Joseph Schumpeter, the father of the economics of innovation, put forward this idea very early on: innovation is, in his view, the essential source of competition, economic development and the transformation of society. More recently, Philippe Aghion received the 2025 Nobel Prize in Economics for extending Schumpeter's work on what is called creative destruction: the idea that technological innovations constantly replace established technologies and existing companies. Apple and its iPhone replacing Nokia and its mobile phones – thereby taking its place as industry leader – that is this very dynamic. The great theorists of strategic management (for example Michael Porter, Jay Barney, David Teece) have also taken this reality into account in their work.

This is not just a theoretical intuition. The World Economic Forum builds a global competitiveness index of economies, and innovation capacity is among the most decisive criteria, once the fundamentals are in place. And if we cross international innovation rankings with economic competitiveness rankings, such as the IMD's, we find the same countries at the top: in the European Union, Denmark, Sweden and Finland. The link between a country's innovation capacity and its competitiveness is strong.

So remember this: innovation is not a secondary or incidental subject. It is one of the most powerful drivers of the economy and of corporate strategy, and that is precisely why we are devoting an entire management course to it.

*English translation of the French script reviewed and approved by the instructor (September 2026). In the video, the image and voice are generated by an AI avatar of the instructor.*